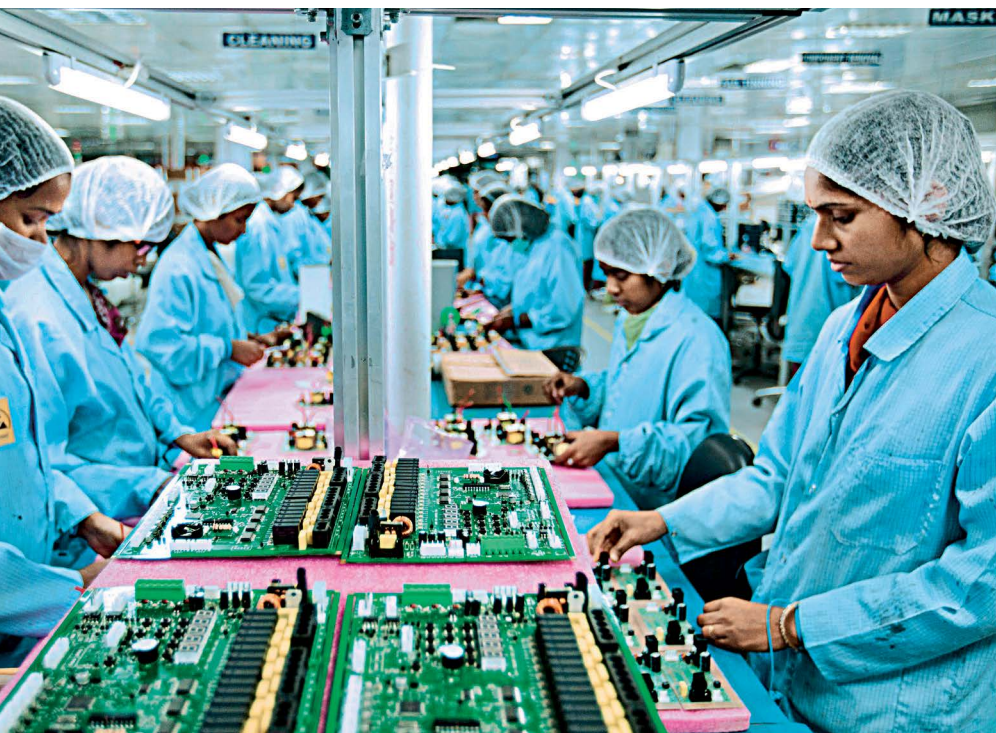




“The ecosystem build-up does change when a large brand enters a market, and that’s what we have seen when Apple came in.”

SUNIL RAINA

MANAGING DIRECTOR, LAVA INTERNATIONAL

calibration of products and components and software integration. Yet around 60% inputs are still imported,” says Ashok Gupta, director, Optimus Infracom.

Even as imports remain high, a new Bengaluru-headquartered contract manufacturer, with its network of in-house and partner factories, is making everything from laptop motherboards and bluetooth speakers to transformers and smart meters. GOBOULT sees local manufacturing momentum spreading across TWS earbuds, bluetooth audio, smartwatches, laptops, tablets and smart TVs.

Gujral says, “There has been a paradigm shift over the last seven-eight years in electronics manufacturing in India. Local value addition has consistently been going up, and imports now constitute 50-60% of the material cost.” Once the investments committed under the Electronics Components Manufacturing Scheme get executed, Gujral believes that domestic value addition will see an estimated increase of 5%.

Industry experts expect growth in components manufacturing as well, despite India’s smartphone market experiencing its weakest Q1 in six years. According to Counterpoint Research, rising memory component costs have triggered over 15% price hikes, leading to a 9% sales decline, early in the year, particularly hitting the entry-to-mid range segments. Interestingly, this accelerates the case for higher value addition, as locally sourced components will cost less.

CLOSING THE CHINA GAP

In the Asian story, so far, China has had the edge in scale and integration of high-tech manufacturing, though leadership in specific technologies is shared with countries like Taiwan, South Korea, and Japan. While no country manufactures all components for electronics, most successful countries have managed to increase local value addition by sourcing more components locally.

Hisense India’s product portfolio

(FROM LEFT)

Workers at Optimus Infracom factory and Syrma SGS’ factory

| 25

76

PER CENT

of India's overall smartphone exports were iPhones in 2025